

The Home Depot, Inc.: review of items to investigate

Fiscal years ended February 2, 2025 ("2025 report") and February 1, 2026 ("2026 report"); pre-tax income \$18,602m.

Documents: the two annual reports, the two fourth-quarter releases, the statements spreadsheet, the two text-track replies (policy assessment and year-on-year comparison) and the two numbers-track replies (statement scan and flag explanations).

Items to investigate

No sentence was contradicted by the company's own numbers, so there is no level 1 item. All five below are level 2 (several signals on one account), largest size first; the first two sizes are balances, not income effects.

1. Goodwill in the acquired distribution businesses ("Other")

- **Shown:** The SRS units moved from a qualitative test to a quantitative one in which fair value "exceeded" carrying amount, with no margin given; the Primary units still read "substantially exceeded". GMS was not tested (2026 report, p. 60). "Other" holds 62% of goodwill but earns 1.5% of operating income (pp. 55-56). Size: no charge taken; a \$13.8bn balance, 74% of pre-tax income. Level 2.
- **Reading:** can't tell from these documents, because the room in the test is not disclosed. A stated margin, or a rising "Other" margin, would make it ordinary.
- **Next:** the final GMS allocation and the next annual test; ask for the headroom by unit.

2. Return on invested capital and commercial paper

- **Shown:** The measure counts only "long-term debt (including current installments) and equity" (p. 35). Commercial paper rose from \$316m to \$4,464m, partly to repay senior notes (p. 36), and the average-borrowings table was dropped (2025 report, p. 61; 2026 report, p. 61). Including it gives 24.7% against the reported 25.7%. Size: no income effect; a \$4,464m balance, 24.0% of pre-tax income. Level 2.
- **Reading:** most likely ordinary, a stated definition applied as written. Paper staying high while pay is tied to the measure would change that.
- **Next:** the proxy's definition for performance shares (p. 71); average commercial paper in the quarterly reports.

3. Operating margin and Primary segment costs

- **Shown:** Operating margin fell from 13.5% to 12.7%, the third yearly fall. About half is acquisition mix and 44% is the Primary margin falling from 13.9% to 13.5%, with Primary overhead up 3.8% on sales down 0.7% (pp. 55-56). The fiscal 2024 legal benefit went from "lower legal-related benefits" (2025 report, p. 34) to "non-recurring" (2026 report, p. 34), with no amount either year. The explanation partly holds. Size: \$1,334m, 7.2% of pre-tax income. Level 2.
- **Reading:** most likely the business weakening. A large legal benefit in the prior year would make the fall more ordinary.
- **Next:** Note 2 (pp. 55-56); ask for the legal benefit and payroll amounts.

4. Inventory and the shrink estimate

- **Shown:** Inventory rose 10.1% against cost of sales up 3.4%; the company's explanation restates the movement and does not hold (pp. 32, 37). The shrink sensitivity fell from \$95m to \$79m (p. 39 in both). The auditor dropped its shrink matter and added one on "sufficiency of audit evidence" (pp. 41-42). The cost method wording now adds "moving average cost" (p. 49). Size: \$1,102m of balance above prior-year days, 5.9% of pre-tax income; the income effect is the shrink estimate, roughly \$160m, 0.9%. Level 2.
- **Reading:** the tracks differ. The numbers track says can't tell, possibly higher unit costs. The text track reads the lower shrink and the new audit matter as most likely ordinary. Later counts showing higher losses, or a falling Primary gross margin, would change it.
- **Next:** quarterly reports for inventory by segment; ask for count results.

5. Acquired-intangible amortization: long lives, then excluded

- **Shown:** Customer relationships are written off straight-line over 19 to 20 years although valued on "customer attrition rates" (pp. 51, 74, 76). Adjusted earnings then exclude all such amortization (release, p. 8), and the gap to reported earnings per share grew from 0.9% to 2.2% to 3.2%. Size: \$607m excluded, 3.3% of pre-tax income; a 15-year life would add about \$112m, 0.6% (an illustration). Level 2.
- **Reading:** the exclusion is most likely ordinary; the lives are possibly slightly stretched, on general practice. Disclosed low attrition would settle the lives.
- **Next:** the final GMS lives (p. 75); whether incentive pay uses adjusted figures.

Also noted

Receivables grew 14.2% against sales up 3.2% (2.4%, a balance). The numbers track reads this as most likely ordinary because GMS explains it, but the allowance is still only "not material" while customer receivables went from \$924m to \$2,588m (p. 48). Sales per retail square foot was dropped (2025 report, pp. 32-33). Reserves and contingencies carry no amounts. Depreciation and amortization differs by \$62m between the cash flow statement and the segment note (pp. 47, 55).

Checked and explained

Cash against earnings (8.1%): the working-capital and tax-timing explanation holds. Payables (5.9%, a balance): most likely a reversal of last year's timing, partly holds. The adjusted earnings arithmetic, the GMS "approximately 1%" of sales, property lives and supplier terms all held; revised figures were reclassifications only.

Not examined

Related parties (in the proxy), reserve movements (schedules omitted), quarterly reports, attrition rates and legal amounts.

Items to investigate, not conclusions. The verdicts are the analyst's.